from Rs 4.12 lakh crore in the budget estimates of 2020–21, recording a jump of 34.5 per cent!

Capital expenditures increased from Rs 4.12 lakh crore in BE20–21 to Rs 4.39 lakh crore in RE20–21 and to Rs 5.54 lakh crore in BE21–22. Increase in BE21–22 over RE20–21 is Rs 1.15 lakh crore, which is also an impressive increase of 26.2 per cent! As overall, budget expenditure has gone up by only Rs 33,000 crore, in terms of overall fiscal expansion, this implies a corresponding reduction in demand push represented by revenue expenditure as overall expenditures are not rising.

Considering that capital expenditure is assumed to be better expenditure than revenue, it is necessary to see where the capital investment push has been directed.

Major increases have been provided for in the budget of MoRTH (from Rs 92,051 crore in RE20–21 to Rs 1,08,230 crore), Ministry of Housing and Urban Affairs (from Rs 10,309 crore to Rs 25,759 crore), Department of Financial Services (from Rs 13,650 crore to Rs 25,800 crore) and the Department of Economic Affairs (from Rs 17,943 crore to Rs 56,607 crore). For the Railways, which has a very large capital budget, there is no increase as Rs 1,07,100 crore has been budgeted against RE of Rs 1,08,398 crore. Likewise, the capital outlay of the Defence Services has also seen marginal increase (from Rs 1,34,510 crore to Rs 1,35,071 crore).

Almost the entire increase of Rs 1.15 lakh crore in the capex of BE21–22 over RE20–21 is accounted for by four large provisions. Rs 20,000 crore has been provided for investing as equity in the proposed new DFI (development finance institution) in the budget of the Department of Financial Services. A lumpsum provision of Rs 44,715 crore has been made under the Department of Economic Affairs to support the infrastructure pipeline. Provision of Rs 20,490 crore has been made under DOT in the name of support to PSUs. A provision of Rs 18,998 crore for metro projects (against Rs 6484 crore in RE20–21) has been made in the budget of